

Chapter-1
Introduction to Economics
5-Marks.

Q1. What is Utility? What are its Types?

The ability of a product to satisfy human wants is called **utility**. Utility differs from person to person because everyone's likes and needs are different.

Utility is of four main types:

- 1. Form Utility:** When the shape or structure of a product is changed to make it more useful.
Example: A carpenter converts wood into a table. By changing the form, usefulness increases.
- 2. Place Utility:** When goods gain utility with the change of their place. For example, vegetables when they are in the production place have no utility, but when they are brought to market, they gain utility.
- 3. Time Utility:** Goods gain utility at a particular time.
Example: for example, coffee and tea have more utility in the winter and cool drinks in the summer.
- 4. Service Utility:** When services provided by professionals satisfy our wants.
Example: Doctors, teachers, lawyers, engineers provide useful services through their skills and knowledge.

Q2. Analyse the characteristics of wants.

A want arises only when a person **needs something** and also has **money to buy it**.

The nature of wants can be understood through the following characteristics:

- 1. Unlimited Wants:-** Human wants never ending. When one want is satisfied, another want appears.
- 2. A Particular Want is Satisfiable:** Though wants are unlimited, **one want can be satisfied at one time**.
Example: Thirst is satisfied by drinking water.
- 3. Competition:-** Wants are unlimited but resources are limited. So we must choose which want to satisfy first.
- 4. Complementary Wants :-** One want may need many goods together. Example: Writing needs pen + paper.
- 5. Substitution:** A want can be satisfied by **different goods**. Example: Hunger can be satisfied by rice or fruits.
- 6. Recurring Wants:** Some wants come again and again. Example: Hunger returns after a few hours.
- 7. Habits:-** Some wants turn into habits if repeated often. Example: Smoking can become a habit.
- 8. Wants vary with Time, Place, and Person:-** Different people want different things based on their location, weather, lifestyle, and income.

Example: Winter increases the want for sweaters.

- Winter increases the want for tea and coffee.
- People in hot places want cold drinks..

Q3. Explain the Scarcity Definition of Economics

According to Lionel Robbins, economics exists because **our wants are unlimited, but the resources are limited**. When demand for goods is greater than the available supply, scarcity arises. Because of scarcity, people must choose which wants to satisfy first.

Thus, economics studies how human beings make choices when resources are scarce but have many alternative uses.

Main points in Robbins' definition:

1. **Human wants are unlimited.**
2. **Resources are limited**, so all wants cannot be satisfied.
3. **Resources have alternative uses**, so they must be used carefully.
4. **Choice is necessary** because we have to decide which want to satisfy first.

Criticisms:

Some economists criticised Robbins because:

1. He ignored welfare aspects of economics.
2. He did not differentiate between 'ends' and 'means'.
3. He treated economics only as a positive science, not as a welfare or normative science.
4. Economics deals with human behaviour, so complete objectivity is not possible

Q4. Distinguish between Microeconomics and Macroeconomics.

Microeconomics	Macroeconomics
1. Micro means "small".	1. Macro means "large".
2. It studies small units like individuals, households, and firms.	2. It studies the whole economy.
3. It also called price theory .	3. It also called the income and employment theory .
4. Explains how prices of goods and factors (labour, land, capital) are decided.	4. It deals with national income, employment, inflation, savings, investment, etc.
5. It is based on demand and supply .	5. It is based on aggregate demand and aggregate supply .
6. It uses partial equilibrium (studies one market at a time).	6. It uses general equilibrium (studies all markets together).
7. It is static , no time element.	7. It is dynamic , includes time, and changes over time.

Q5. Differences Between Free Goods and Economic Goods.

S.No	Free Goods	Economic Goods
1	Free goods are nature's gift.	1. Economic goods are man-made.
2	Their supply is abundant.	2. Supply is always less than demand.
3	They do not have prices.	3. These goods have prices.
4	There is no cost of production.	4. They have a cost of production.
5	They have value-in-use only, not value-in-exchange.	5. They have value-in-use and value-in-exchange.
6	Their value is not included in the national income.	6. Their value is included in the national income.

Q6. Explain the Growth Definition of Economics

According to Samuelson, economics studies how individuals and society use limited resources to produce different goods and services over time, and distribute them for present and future consumption. This definition explains how the economy grows, develops, and improves people's living standards.

Main points in Samuelson's definition:

1. **Resources are limited and have many uses**, just as Robbins stated.
2. The definition is **dynamic** because it includes both present and future production and consumption.
3. It recognizes **economic growth**, changes in income, output, and employment over time.
4. It is **broader than Robbins' definition**, because it talks about the development, distribution, and improvement of living standards.

2-Marks. Q&A

Q1. Explain the wealth definition.

The Classical definition, associated with Adam Smith, defines Economics as the "Science of Wealth," which studies the production, accumulation, and distribution of material goods and tangible objects necessary to satisfy human wants.

Q2. What is Microeconomics?

The term "Micro" means small. Microeconomics studies the behavior of **individuals, households, and firms**. It explains how people make decisions about buying, selling, and using scarce resources in markets.

Q4. What is Macroeconomics?

The term "Macro" means Big. Macroeconomics studies the economy as a whole. It deals with national income, employment, inflation, and overall economic growth. It is also called the Income and Employment Theory.

Q4. Capital Goods.

Capital goods are man-made items used to produce other goods and services. Examples: machinery, tools, buildings, vehicles, and equipment used in factories.

Q5. What is Price?

Price is the **value** of a commodity expressed in terms of money.

Example: If a pen is sold for ₹10, its price is ₹10.

Q6. Explain Consumer Goods.

Consumer goods are goods that people buy for **direct consumption**. They satisfy human wants directly.

Examples: fruits, milk, clothes, pen.

Q7. What are Intermediary Goods?

Intermediary goods are goods used in various stages of production. These goods are not for final consumption.

Example: steel used to make cars. Cement, flour.

Q8. What are Free Goods?

Free goods are provided by **nature**, available in abundance, and have **no price**. They have only use-value, not exchange-value. Examples: air, sunlight.

Q9. Explain Economic Goods.

Economic goods are **man-made goods**, which have a **price** and are **limited in supply**. They have both use value and exchange value. Examples: pen, book, mobile.

Q10. Explain Normative Economics.

Normative economics gives **value-based judgments** and opinions about what the economy should do.

It deals with ideas like "government should reduce poverty" or "taxes should be increased."

Chapter-2

Theories of Consumer Behavior

10-Marks.

Q1. Describe the Law of Diminishing Marginal Utility, its limitations, and importance.

The *Law of Diminishing Marginal Utility* is the first law of consumption. It was first explained by H.H. Gossen in 1854 and later developed by Alfred Marshall.

✦ Statement of the Law

When a consumer consumes more and more units of the same commodity, the marginal utility (extra satisfaction) obtained from each additional unit keeps falling, and beyond a point it may become zero or even negative.

✦ Assumptions of the Law.

1. **Cardinal Measurement** – Utility can be measured in numbers.
2. **Rational Consumer** – The consumer aims to maximize satisfaction.
3. **No Time Gap** – Units of the good are consumed continuously.
4. **Homogeneous Goods** – All units are identical in quality.
5. **Constant Taste** – Consumer's preferences remain unchanged.
6. **Divisibility** – The commodity can be divided into smaller units.
7. **Perfect Knowledge** – Consumer knows all market conditions.

To explain the theory, we need to understand Total Utility (TU) and Marginal Utility (MU)

✓ Total Utility (TU)

Total utility is the overall satisfaction a consumer gets from consuming all units of a good at a given time.

✓ Marginal Utility (MU)

Marginal utility is the additional satisfaction a consumer gets from consuming one more unit of a good.

$$MU = \frac{\text{Change in Total Utility}}{\text{Change in Quantity}}$$

✦ Tabular explanation of the law

Units	Total Utility (TU)	Marginal Utility (MU)
1	40	40
2	70	30
3	90	20
4	100	10
5	100	0
6	90	-10

✦ Explanation of the Table

- TU increases, but MU falls.
- MU becomes zero at 5 units.
- When MU becomes negative (at 6 units), TU starts to fall.
- This clearly shows the diminishing nature of marginal utility.

✦ Graphical representation of the law.

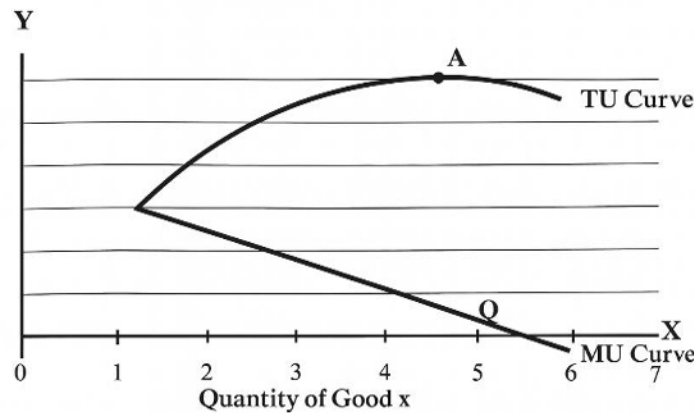


Fig.-2.1: Total and Marginal Utility Curves

✦ Explanation of the Graph.

- The X-axis shows units of the good. The y-axis shows TU and MU.
- In the graph, **Total Utility (TU)** increases at a decreasing rate and becomes **maximum at the 5th unit**, after which it starts falling.
- The **Marginal Utility (MU)** curve slopes downward and becomes **zero at the 5th unit** and **negative after that**, showing that extra units give less satisfaction and eventually cause **dissatisfaction**.

✦ Relationship Between TU and MU

- TU and MU always move together, but in **opposite directions**.
- When TU increases at a decreasing rate → MU falls.
- When TU is maximum → MU = 0.
- When TU decreases → MU becomes negative.

✦ Limitations. The Law may not work.

- If the consumer is irrational.
- If MU of money changes.
- If goods are not identical.
- If consumer's income changes.
- If there is long time gap between consumption.

✦ Importance of the Law

- Basis for the Law of Demand.
- Explains why demand curve slopes downward.
- Explains the Diamond–Water Paradox.
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Q2. Illustrate the consumer's equilibrium using indifference curve analysis.

Consumer's equilibrium means a situation where a consumer gets **maximum satisfaction** with the **limited income** he has. He chooses the best combination of two goods that fits his budget and gives him the highest satisfaction.

To study this, we use **Indifference Curves (ICs)** and a **Budget Line**

➤ Assumptions.

1. Consumer's tastes and preferences are constant.
2. Income of the consumer is fixed.
3. Prices of the two goods remain constant.
4. Consumer is rational (wants maximum satisfaction).
5. Goods are divisible.
6. Market conditions are ideal.

➤ Conditions of Consumer's Equilibrium

The consumer reaches equilibrium when **both** the following conditions are satisfied:

1. Budget Line Must Be Tangent to an Indifference Curve: The budget line touches the highest possible IC at **one point**.

At this point, the consumer gets maximum satisfaction.

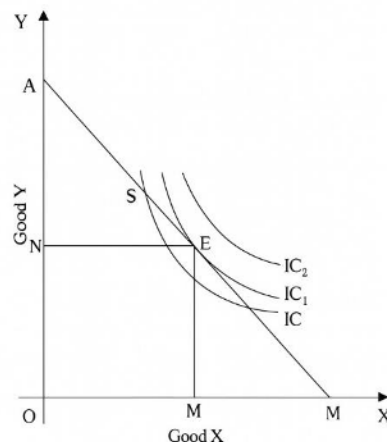
2. MRS = Price Ratio

At equilibrium,

$$MRS_{xy} = \frac{P_x}{P_y}$$

This means the rate at which the consumer is willing to substitute good X for good Y equals the rate at which the market allows substitution.

➤ Graphical representation of the consumer equilibrium



➤ Graph Explanation

- a) The X-axis represents Good X, the Y-axis represents Good Y.
- b) **Indifference curves** (IC, IC₁, IC₂) show different combinations of Good X and Good Y that give the consumer equal satisfaction.

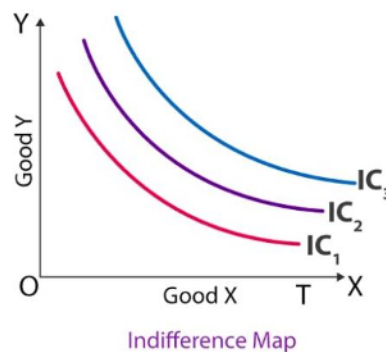
- c) **The budget line AB** shows all combinations of the two goods that the consumer can buy with his income.
- d) **E** is the equilibrium point.
- e) At **E**, the budget line touches $IC_1 \rightarrow$ maximum satisfaction.
- f) Point **S** is on a lower IC $\rightarrow$ less satisfaction.
- g) IC_2 is above the budget line $\rightarrow$ cannot be afforded.

Thus, **E** is the consumer's equilibrium. where the **budget line is tangent to the highest indifference curve**

2-Marks Q&A

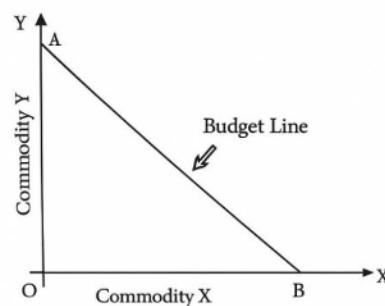
Q1. Draw the indifference map.

An **indifference map** is a collection of many indifference curves. Each curve shows different combinations of two goods that give the **same satisfaction** to the consumer. Higher curves show **higher satisfaction**.



Q2. What is price line / budget line?

A **budget line** shows all combinations of two goods that a consumer can buy with his **given income** at given prices. Any point on the budget line is **affordable**, while points above it are not.



Q3. Explain ordinal utility.

Ordinal utility was developed by **J.R. Hicks**. It means a consumer can **rank** or **order** his satisfaction like 1st, 2nd, 3rd, but **cannot measure it in numbers**.

Example: A consumer can say "I prefer A to B," but cannot say "A gives me 10 units of satisfaction."

Q4. Explain cardinal utility.

Cardinal utility was developed by **Alfred Marshall**. It means satisfaction from a good can be **measured in numbers** like 10 utils, 20 utils, etc.

Example: Eating one apple gives 20 units of utility, two apples give 35 units.

Chapter-3

Demand Analysis

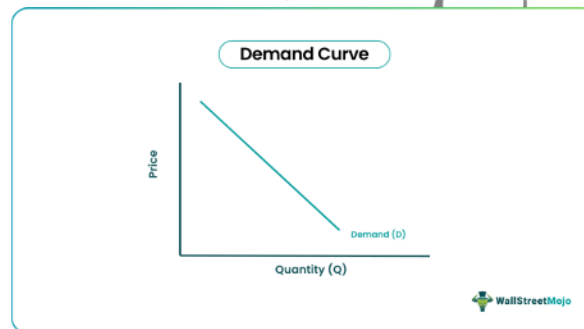
5-marks

Q1. Illustrate the reasons for a negatively sloping demand curve.

A demand curve slopes downward because consumers buy more at lower prices and less at higher prices.

Reasons for a negatively sloping demand curve

1. **Law of Diminishing Marginal Utility:** As a person consumes more units, extra satisfaction from each additional unit falls, so they will pay less for extra units.
2. **Real Income Effect:** When the price falls, the consumer's real income rises and they can buy more; when price rises, real income falls, and they can buy less.
3. **Substitution Effect:** If a good becomes cheaper than substitutes, buyers buy more of it, hence increasing its demand.
4. **Multiple Uses of a Commodity:** Some goods have many uses (e.g., coal, electricity); price changes affect demand for different uses.
5. **Old and New Buyers:** Price falls can attract new buyers who earlier could not afford the good.



Q2. Explain the exceptions to the law of demand.

The Law of Demand states that when price increases, demand falls, and when price decreases, demand rises.

However, **in some special situations**, consumers do not follow this rule.

Exceptions to the Law of Demand.

1. Giffen Goods

Giffen goods are **inferior goods**, mostly consumed by poor households e.g., broken rice, wheat. When price rises, they cannot afford substitutes, so they buy **more** of the same good. **Price $\uparrow$ $\rightarrow$ Demand $\uparrow$**

2. Veblen Goods (Prestige Goods)

Luxury/status goods like diamonds and branded items. Higher price gives higher prestige, so demand increases. **Price $\uparrow$ $\rightarrow$ Demand $\uparrow$**

3. Speculation

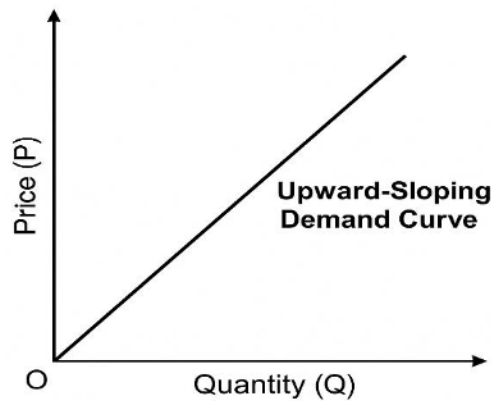
When people expect future prices to rise (gold, shares), they buy more now, even at high prices.

Expected future price $\uparrow$ $\rightarrow$ Current demand $\uparrow$

4. Illusion of Quality

Some consumers feel higher price means better quality, so they continue buying even at high prices.

Examples: perfumes, branded clothes.



Q3.What are the factors that determine demand?

Several factors influence demand for a product. These factors decide how much of a good consumer are willing to buy.

1. **Price of the Product** :-When the price decreases, people buy more; when the price increases, people buy less.
2. **Price of Substitutes**:- If substitute goods become cheaper, people shift to them, so demand for the original good falls.
3. **Price of Complementary Goods**:-Complementary goods are used together. If the price of one rises, demand for the other falls.
(Example: tea and sugar)
4. **Income of the Consumer**:-When income increases, demand for most goods rises. When income falls, demand decreases.
5. **Tastes and Preferences**:-Changes in fashion, trends, habits, or advertising can increase or decrease demand.
6. **Population**:- larger population increases demand for goods like food, clothing, and housing.
7. **Technological Changes**:-New technology increases demand for new products and reduces demand for outdated ones. (Example: mobiles replacing landlines)
8. **Weather and Seasons**:-Demand changes with seasons. Tea and coffee are demanded in winter; cold drinks are demanded in summer.

Q4 Point out the importance of Price Elasticity of Demand.

Price elasticity of demand measures **how much quantity demanded changes** when the **price of a product changes**.

Importance of Price Elasticity of Demand.

1. **International Trade** :- Countries set export prices based on elasticity.
 - If demand in the importing country is **inelastic**, exporters can charge **higher prices**.
 - If demand is **elastic**, exporters must keep **lower prices**.
 - **Example**: Medicines exported → high price (inelastic). Clothing → lower price (elastic).
2. **Government Policies**:-Elasticity helps government design tax policies.
 - Goods with **inelastic demand** → high taxes can be charged.
 - Goods with **elastic demand** → low taxes are applied.

- **Example:** Petrol, cigarettes have high tax (inelastic)

3.Factor Pricing:-Elasticity helps decide how much to pay workers, land, capital, etc.

If demand for a factor is **inelastic**, it will earn **higher rewards**. **Example:** Skilled doctors earn more because demand for them is inelastic.

4.Decisions of Monopolist:- A monopolist fixes price based on elasticity.

- If demand is **elastic**, he must keep **low price**.
- If demand is **inelastic**, he can charge a **high price**.
- **Example:** Electricity (inelastic) → higher price; soft drinks (elastic) → lower price

6.Ministry of Finance:-The government collects more tax from goods with **inelastic demand**, because people will continue buying them even if the price rises. **Example:** Petrol, diesel, liquor → people still buy even if price rises.

2-Marks Q&A

Q1.What is demand function?

The demand function shows the relationship between the quantity demanded of a commodity and its determining factors.

It is generally written as:

$$D_x = f(P_x, P_s, P_c, Y, T)$$

- P_x : Price of the commodity
- P_s : Price of substitutes
- P_c : Price of complements
- Y : Income
- T : Tastes

Q2. Explain Giffen's Paradox.

Giffen's paradox is an exception to the law of demand where a rise in price leads to an increase in demand. Poor consumers buy more of an inferior good when its price rises because they cannot afford better substitutes. Examples: broken rice, coarse wheat.

Q3. Types of Price Elasticity of Demand.

There are **five types** of price elasticity:

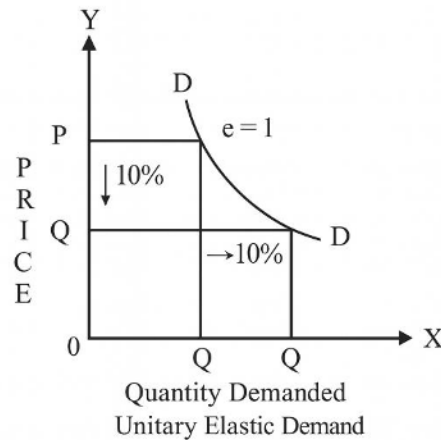
1. **Perfectly Elastic Demand** – .
2. **Elastic Demand**
3. **Perfectly Inelastic Demand**
4. **Inelastic Demand** .
5. **Unitary Elastic Demand.**

Q3 What is cross demand?

Cross demand shows how the demand for one good changes when the **price of another good** changes. It used to measure relationship between goods.

Q4. Explain unitary elastic demand.

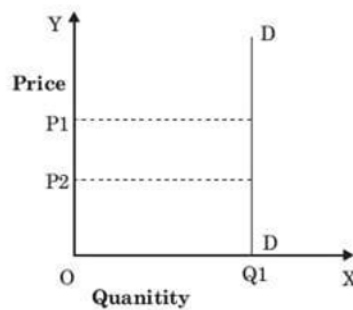
When the **percentage change in demand** equals the **percentage change in price**, demand is **unitary elastic**. The curve is a **rectangular hyperbola**.



Q5. Explain perfectly inelastic demand.

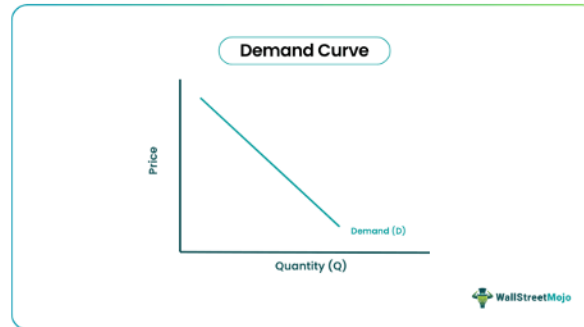
When demand **does not change at all** even if price rises or falls, it is perfectly inelastic. The demand curve is **vertical** to the Y-axis.

FIGURE: PERFECTLY INELASTIC DEMAND



Q6. Price demand (Law of Demand).

The law of demand states that when price increases, demand falls, and when price decreases, demand increases.



Q7. Explain complementary goods.

Complementary goods are used together. They have an **inverse relationship**. Example: **Shoes & socks, car & petrol**

Price $\uparrow \rightarrow$ Demand for both $\downarrow$.

Q8. Define superior goods.

Superior (normal) goods have a **positive income-demand relationship**. When income increases, demand also increases. **Example:** When a person's income rises, they shift from ordinary rice to **basmati rice**, or from local clothes to **branded clothes**.

Q9. Explain cross elasticity of demand.

Cross elasticity measures how demand for one good changes when price of another good changes. Example: If the price of coffee rises, demand for tea increases $\rightarrow$ **positive cross elasticity**.

Formula:

Formula.

$$E_c = \frac{\% \text{ change in demand of X}}{\% \text{ change in price of Y}}$$

Q10. What is income demand?

Income demand shows the relationship between **income of the consumer** and **quantity demanded**, while other factors remain constant.

$$D=f(Y)$$

- For superior goods: Income $\uparrow \rightarrow$ Demand $\uparrow$
- For inferior goods: Income $\uparrow \rightarrow$ Demand $\downarrow$

Chapter-4

Production Analysis

Q1. Critically Examine the Law of Variable Proportions

Definition:

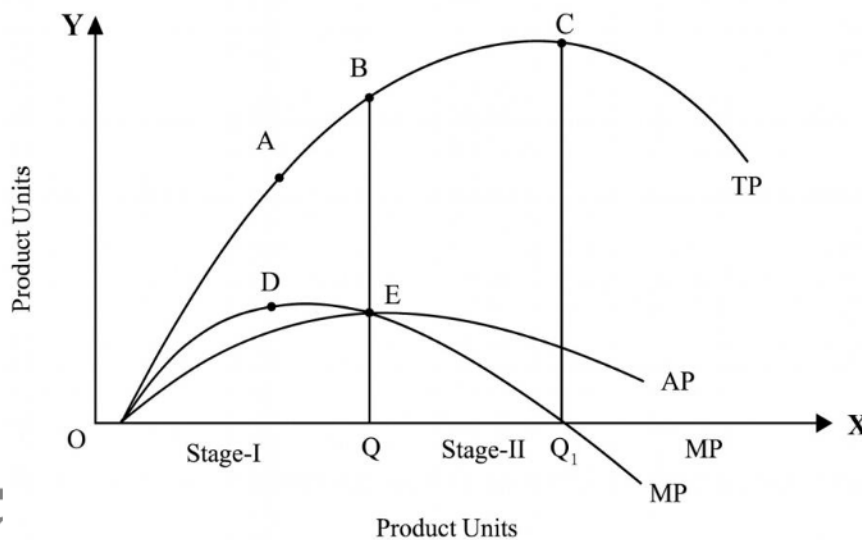
The Law of Variable Proportions explains how output changes when only one input (like labour) is increased, while other inputs (like land) are kept constant.

Statement of the Law: “As the quantity of one variable input increases while other inputs remain fixed, the total output increases at an increasing rate, then at a diminishing rate, and finally starts decreasing.”

Assumptions:

1. Only one factor (like labour) changes; all others remain constant.
2. Land is a fixed factor of production.
3. Labour is a variable factor.
4. Technology remains constant.
5. The law applies in the short run.

Graphical representation



Explanation:

1. Stage I – Increasing Returns

- At the beginning, when more labour is added, **Total Product (TP)** increases at an increasing rate.
- Both **Average Product (AP)** and **Marginal Product (MP)** rise quickly.
- This happens because workers cooperate better and make full use of fixed factors like land and machines.

- This stage ends when **MP reaches its maximum** (Point A).

2. Stage II – Diminishing Returns

- TP still increases but at a slower rate.
- MP starts falling, and AP also begins to fall after reaching its highest point.
- This is the most **rational stage of production**, where the producer gets the best use of resources.
- This stage ends when **MP becomes zero** (Point C).

3. Stage III – Negative Returns

- When more labour is added beyond the limit, **TP starts to fall**.
- MP becomes **negative**, and AP continues to fall.
- It means too many workers are working on limited land, causing inefficiency and overcrowding.

Any rational producer operates only in **Stage II**. In this stage, the use of fixed and variable factors is most efficient — meaning the producer achieves maximum output with minimal waste.

Q2. Explain the Internal and External Economies

Economies are the benefits that firms or industries get when production increases on a large scale. They help in reducing the cost of production and improving efficiency.

Economies are of two types:

1. **Internal Economies**
2. **External Economies**

1. Internal Economies.

Internal economies are the advantages a single firm gets when it expands its production. They depend on the size and efficiency of the individual firm.

Types of Internal Economies:

- I). Technical Economies:**-Large firms can use modern and advanced machinery, leading to lower production costs and higher efficiency.
- II). Managerial Economies:**-Big firms can appoint skilled and specialized managers for different departments, which improves supervision and reduces wastage.
- III). Marketing Economies:**-Large firms buy raw materials and sell finished goods in bulk, which reduces buying and selling costs.
- IV). Financial Economies:**-Large firms can easily get loans from banks at low interest rates because they have a good reputation and creditworthiness.
- V). Welfare Economies:**-Big firms provide facilities like housing, transport, and recreation for workers, which improves their efficiency.

2. External Economies

External economies are the benefits that all firms in an industry enjoy when the industry as a whole expands. These benefits are shared by many firms.

Types of External Economies:

- I) **Economies of Concentration:**-When many firms are located in one area, they share facilities like transport, communication, and banking.
- II) **Economies of Information:**-Firms in the same industry share useful information like new research or technology, reducing costs.
- III) **Economies of Specialization:**-When many firms cooperate, each firm specializes in one part of production — which increases efficiency.

Section-B

5marks

1Q. What are the internal economies of scale?

1. Internal Economies:-

Internal economies are the advantages a single firm gets when it expands its production. They depend on the size and efficiency of the individual firm.

Types of Internal Economies:

- I). **Technical Economies:** Large firms can use modern and advanced machinery, leading to lower production costs and higher efficiency.
- II). **Managerial Economies:** Big firms can appoint skilled and specialized managers for different departments, which improves supervision and reduces wastage.
- III). **Marketing Economies:** Large firms buy raw materials and sell finished goods in bulk, which reduces buying and selling costs.
- IV). **Financial Economies:** Large firms can easily get loans from banks at low interest rates because they have a good reputation and creditworthiness.
- V). **Welfare Economies:** Big firms provide facilities like housing, transport, and recreation for workers, which improves their efficiency.

Q2. What is Supply? Explain the Determinants of Supply

Supply means the quantity of goods or services that a seller is **willing and able to offer** in the market at a given price.

Determinants of Supply:

- 1. **Price of the Commodity:**-When the price of a product increases, producers supply more; when it falls, they supply less.
- 2. **Factor Prices:**-If the cost of production (like wages, rent, or raw materials) rises, supply decreases.
- 3. **Prices of Related Goods:**-If the price of a substitute good rises, producers may shift to producing that instead.
- 4. **State of Technology:**-Better technology reduces costs and increases production, leading to more supply.
- 5. **Government policy:**-The imposition of heavy taxes discourages the supply of goods; similarly, government incentives increase the supply.

Q3. Discuss the types of costs.

Cost means the expenses incurred by a producer during the production of goods and services.

Costs are mainly classified into **three types**:

1. **Money Costs:**

These are the **actual money expenses** paid for production — like wages, rent, interest, raw materials, fuel, and transport. They include **explicit** (cash payments) and **implicit** (own resources used) costs.

2. **Real Costs:**

According to **Alfred Marshall**, real costs are the **efforts and sacrifices** made by workers and entrepreneurs in the production process.

They include **hard work, loss of leisure, and mental stress** faced during production

3. **Opportunity Costs:**

It Also called **alternative cost**, it is the **value of the next best alternative** given up when a resource is used for one purpose.

For example, if a farmer grows wheat instead of rice, the **lost value of rice** is the opportunity cost.

Q4. Explain the relationship between Average Cost and Marginal Cost.

- **Average Cost (AC)** means the total cost per unit of output. It is found by dividing the total cost (TC) by total output (Q).

$$AC = \frac{TC}{Q}$$

- **Marginal Cost (MC)** means the **additional cost** of producing **one more unit** of output.

$$MC = \frac{\Delta TC}{\Delta Q}$$

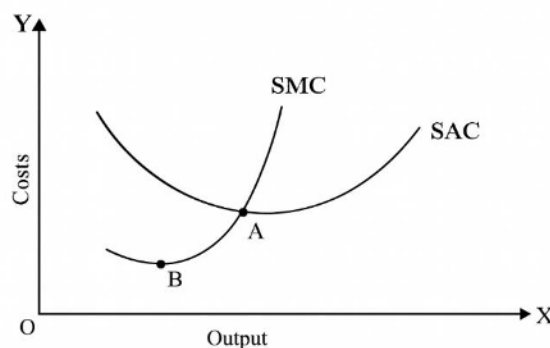


Figure-4.6: Relationship between AC and MC

Nature of Relationship:

- The relationship between AC and MC is very close. Both are derived from total cost, and both are **U-shaped curves**.
- The **MC curve cuts the AC curve at its minimum point**
- When **MC < AC**, it means the extra unit costs less than the average. So, AC **falls**.
- When **MC = AC**, the AC curve reaches its **minimum point**.
- When **MC > AC**, it means the extra unit costs more than the average, so AC **rises**.

Section-C

2-Marks Q&A

Q1. What is an opportunity cost?

Opportunity cost is the value of the next best alternative that is given up when we choose one option over another. It shows the benefit lost due to choosing one activity instead of another.

□ **Example:** If a farmer grows wheat instead of rice, the income from rice is the opportunity cost.

Q2. Define the production function.

A production function shows the relationship between the quantity of inputs and the quantity of output produced. It explains how efficiently inputs are used to produce goods.

Output = f(Land, Labour, Capital, Organization, Technology)

Q3. Define the law of supply.

The law of supply states that when the price of a commodity increases, producers supply more of it; when the price decreases, supply falls. Thus, price and supply move in the same direction.

□ **Example:** When the price of rice increases, farmers produce more rice to earn more profit.

Q4. What are money costs?

Money cost is the total amount of money spent by a firm to produce goods and services. It includes wages, rent, interest, raw materials, and other expenses.

□ **Example:** If producing 200 chairs costs ₹10,000, that is the money cost.

Q5. What is the division of labour?

Division of labour means dividing the work into smaller parts so that each worker does a specific task. It increases productivity, saves time, and helps workers gain specialized skills.

□ **Example:** In a factory, one worker cuts wood, another polishes, and another paints — this is division of labour.

Q6. Explain the classification of factors of production.

Factors of production are inputs used in producing goods and services.

They are divided into five types:

1. Land .
2. Labour.
3. Capital .
4. Organization .
5. Technology .

Q7. What is the meaning of average cost?

Average Cost (AC) means the total cost per unit of output. It is found by dividing the total cost (TC) by total output (Q).

$$AC = \frac{TC}{Q}$$

Chapter-5

Market Analysis

10- Marks- Q&A

Q1. Explain the meaning of Perfect Competition. Illustrate the mechanism of price determination under perfect competition.

Perfect competition is a market situation where **many buyers and many sellers** deal in a **homogeneous (identical) product**. There is no rivalry among the individual firms. No single buyer or seller can influence the market price.

Characteristics of Perfect Competition

- 1) **Large number of buyers and sellers:** No single buyer or seller can influence the price.
- 2) **Homogeneous goods:** All firms sell identical products.
- 3) **Single market price:** One uniform price prevails in the market.
- 4) **No transport cost:** Transport expenses are assumed absent.
- 5) **No selling or advertising cost:** Identical goods remove the need for promotion.
- 6) **Perfect knowledge:** Buyers and sellers fully know prices and product details.
- 7) **Free entry and exit:** Firms can join or leave the industry freely.
- 8) **Free mobility of factors of production:** Labour and capital move easily between firms.

☒ **Price Determination Under Perfect Competition**

In perfect competition, demand and supply determine the market price. The equilibrium price is reached when market demand = market supply.

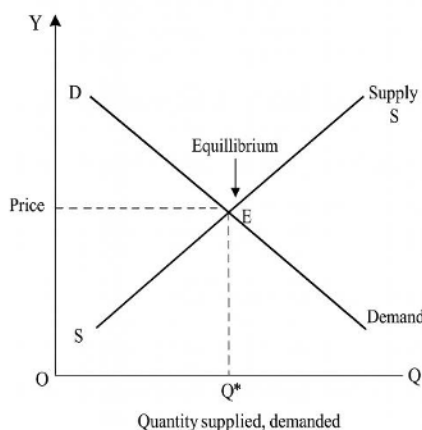
Demand and Supply Schedule:-

Price (Rs.)	Market Demand (kg)	Market Supply (kg)
10	60	20
20	50	30
30	40	40
40	30	50
50	20	60

The table shows how market demand and supply change with price

- At **Rs. 10**, demand is **60 kg** and supply is **20 kg**, creating a shortage.
- At **Rs. 20**, demand becomes **50 kg** while supply increases to **30 kg**.
- At **Rs. 30**, demand and supply are equal at **40 kg**, giving equilibrium.
- At **Rs. 40**, demand falls to **30 kg** while supply rises to **50 kg**, creating surplus.
- At **Rs. 50**, demand drops to **20 kg** and supply reaches **60 kg**, increasing surplus further

✓ Graph Explanation:-



- The X-axis represents **quantity demanded and supplied**.
- The y-axis represents **price**.
- **Demand curve (D)** is **negatively sloped** (higher price → lower demand).
- **Supply curve (S)** is **positively sloped** (higher price → higher supply).
- Both curves intersect at point **E**.
- **E** is the equilibrium point where **market demand = market supply**.
- The corresponding price is the **equilibrium price (Rs. 30)** and the quantity is **40 kg**.

☆ Conclusion

Under perfect competition, the **equilibrium price** is determined only by the **forces of demand and supply**. No single buyer or seller can influence the price. The market price adjusts itself until demand equals supply.

5-Marks Q&A

Q1. What is Monopoly? What are its characteristics?

The term “Mono” means single, and “Poly” means seller. A monopoly is a market where **only one seller** controls the entire supply of a product. The product has **no close substitutes**, so consumers must buy only from this seller. The monopolist can influence the price because he is the only supplier.

Examples: electricity supply, water supply, railways.

Characteristics of Monopoly.

- 1. Single Seller:-**There is only **one firm** supplying the entire market.
- 2. No Close The product offered has no close alternative, so consumers depend on the monopolist.**
- 3. Price The monopolist can decide the price or quantity, but not both at the same time.**
- 4. Profit Maximization:-**The main aim is to earn the **maximum profit**.
- 5. Entry Barriers:-**New firms cannot easily enter due to high cost, legal restrictions, patents, etc.

Q2. Write a note on the classification of the market based on time and area.

A market is a place where buyers and sellers meet to buy and sell goods or services for an agreed price.

1. Markets Based on Time

(i) Very Short Period Market:-Supply cannot be changed immediately. Goods like milk, fruits, fish must be sold within 1–2 days; supply is fixed.

(ii) Short Period Market:-Firms can increase output slightly by using more labour or inputs.

(iii) **Long Period Market:**-Firms can make full adjustments — change plant size, technology, supply — according to demand conditions.

2.Markets Based on Area

(i) **Local Market:**-Goods are bought and sold **within a small area** or locality. Examples: fruits, vegetables, flowers.

(ii) **National Market:**-Goods are supplied and demanded **throughout the country**. Examples: wheat, rice, cotton.

(iii) **International Market:**-Goods are traded **all over the world** between countries. Examples: gold, silver, platinum.

Q3. What are the characteristics of Monopolistic Competition?

Monopolistic competition is a market where **many firms** sell products that are **similar but not identical**. Each firm has some control over price because of **product differences**.

Characteristics of Monopolistic Competition

a) Few Sellers in the Market:- There are only a **small number of firms** selling the product, so each firm's decision affects the others. **Example:** Airtel, Jio, and VI in telecom.

b) Interdependence Among Firms:-Each firm closely watches the actions of other firms—such as price changes or new offers—because these decisions affect their own sales. **Example:** If Jio reduces price, Airtel and VI also respond.

c) Presence of Monopoly Power Along With Competition:-Each firm has some **market power** like a monopoly (can influence price), but at the same time faces **competition** from other few firms. **Example:** Car companies like Hyundai, Tata, Mahindra.

d) Price Rigidity:-Prices do not change frequently. Even if demand changes, firms hesitate to change prices because competitors may react immediately.

Example: Prices of Pepsi and Coke bottles remain unchanged for long periods, even when demand changes, because firms avoid frequent price adjustments

e) Excessive Expenditure on Advertisement

Firms spend a lot on **advertising, sales promotion, offers** to attract customers and increase market share.

Example: Mobile companies advertising during IPL or TV shows.

4Q.Explain the Concept of Duopoly and Its Characteristics.

➤ Meaning of Duopoly

A **duopoly** is a market situation where **only two sellers** exist in the market. The term comes from Greek words “duo” two and “poly” to sell. Duopoly is considered a **limited form of oligopoly**.

➤ Cournot Duopoly Model.

The Cournot model, developed by **Augustin Cournot in 1838**, explains how two firms behave in a duopoly. Cournot assumed that:

- There are **two firms** producing the **same product**.
- Each firm **decides its output**, thinking the other firm will **keep its output unchanged**.
- Firms do **not react** to each other's past decisions.

Because of this simple behaviour:

- Each firm ends up producing **one-third** of the total market output.
- Together, both firms supply **two-thirds** of the market.
- Both firms fail to earn maximum profit because they do not consider how their decisions affect each other..

➤ **Characteristics of Duopoly (Cournot's Model)**

- 1) **Two Independent Sellers**
- 2) **Homogeneous Product**
- 3) **Zero Production Cost (Assumption)**
- 4) **Lack of Recognition of Interdependence.**

2-Marks Q&A

Q1. What are selling costs?

Selling costs are the **expenses a company spends to sell its product**, such as advertising, transport, packaging, and delivery.

Examples: TV ads, Advertising posters.

Q2. Define Monopoly.

The term “Mono” means single, and “Polein” means seller. Monopoly is a market where **only one seller** controls the entire supply of a product, and there are **no close substitutes**.

Examples: Indian Railways, electricity supply.

Q3. What is product differentiation?

Product differentiation means making a product **look different or better** than others using brand, design, color, quality, or packaging.

Examples:

- Different toothpaste brands (Colgate, Pepsodent).
- Different soaps (Lux, Dove).

Q4. Define Oligopoly.

Oligopoly comes from two Greek words, Oligos” meaning “few” and “Poly” meaning “to sell” . Oligopoly is a market with **a few producers**. The product may be the same or different, and firms closely watch each other.

Examples:

- Automobile industry (Maruti, Hyundai, Tata).
- Telecom industry (Jio, Airtel, Vodafone).

Q5. What is a Duopoly?

The word **Duopoly** comes from two Greek words: “**Duo**” meaning **two**, and “**Poly**” meaning **to sell**.

Duopoly is a market where **only two sellers** exist. Each seller must think about the other’s reaction before changing price or output.

Examples: Zomato and Swiggy.

Q6. What is monopolistic competition?

Monopolistic competition is a market where **many firms** sell products that are **similar** but **slightly different** in brand, quality, or design.

Examples:

- Colgate and Pepsodent and Clothing brands.

CHAPTER- 6
THEORIES OF DISTRIBUTION.
5-Marks Q&A

Q1. What are the determining factors of real wages?

Factors Determining Real Wages .

Real wages refer to the purchasing power of money wages received by workers. They are expressed in terms of the goods and services a worker can buy with his money income.

1. Price Level:- If prices rise, real wages fall because workers can buy less. If prices fall, real wages increase.

Example: High food prices reduce real wages.

2. Method of Payment : Free housing, medical care, transport, or education increase real wages.

Example: Workers with free housing enjoy higher real wages.

3. Regularity of Employment :- Permanent and stable jobs provide higher real wages than temporary jobs.

4. Nature of Work :- Risky or difficult jobs require higher wages. If risk is high and pay is low, real wages fall.

Example: Miners face danger.

5. Working Conditions:- Safe, healthy, and comfortable working conditions raise real wages. Poor conditions reduce real wages.

6. Subsidiary Earnings:- Extra income from additional work increases real wages. *Example: A doctor doing private practice earns more.*

7. Future Prospects:- Jobs with promotion opportunities and salary growth offer higher real wages.

8. Timely Payment:- Regular and timely payment increases real wages.

9. Social Prestige:- High-status jobs give higher real wages even with the same money wage.

Example: Judges have higher real wages than bank officers.

10. Education and Training:- Jobs requiring long and costly training may give lower real wages initially.

2-Marks Q&A

1Q. What is net interest?

Net interest is the payment a borrower gives to the lender for using borrowed money. It is paid as a yearly percentage.

Example: If you borrow ₹10,000 from a bank at 10% interest, you pay ₹1,000 as interest.

2Q. What is contract rent?

Contract rent is the rent amount agreed between the landowner and land user, either in written or verbal form.

Example: A farmer agrees to pay ₹5,000 per month to use a land plot for cultivation.

Q3. What are real wages?

Real wages are the wages measured in terms of the goods and services a worker can buy. They show purchasing power after adjusting for price levels.

Example: If a worker earns ₹500 per day and prices are low, he can buy more goods—so real wages are high.

Q4. What is net profit?

Net profit is the money a business earns after subtracting all expenses like operating costs, interest, and taxes.

Example: If a shop earns ₹50,000 and spends ₹30,000 on expenses, net profit = ₹20,000.

CHAPTER- 7
NATIONAL INCOME ANALYSIS.
10-Marks Q&A

1Q. What are the various methods of calculating National Income? Explain them

National income is the total money value of all final goods and services produced within a country during a financial year. It consists of the **total income earned by all people and businesses** in a country during a year.

It can be calculated using three major methods:

- 1) **Income Method**
- 2) **Expenditure Method**
- 3) **Output Method / Product Method**

1. Income Method

This method aggregates (adds) all incomes earned by factors of production, including land, labor, capital, and entrepreneurship.

Components:

- a) **Rent** – income for the use of land
- b) **Wages / Compensation** – income of workers for services
- c) **Interest** – income for using capital
- d) **Profit** – income of entrepreneurs
- e) **Mixed Income** – income of self-employed people (shopkeepers, farmers, etc.)

Formula:

$$\text{National Income (NI)} = \text{Rent} + \text{Compensation} + \text{Interest} + \text{Profit} + \text{Mixed Income}$$

2. Expenditure Method

This method adds all **expenditures made on final goods and services** in the economy during a year.

Components:

- a) **Household expenditure (EH)**
- b) **Firm/Company expenditure (EF)**
- c) **Government expenditure (EG)**
- d) **Net Exports (Exports – Imports)**

Formula:

$$\text{NI} = \text{EH} + \text{EF} + \text{EG} + \text{Net Exports}$$

This method assumes that **total expenditure = total income**.

3. Output Method / Product Method

This method calculates national income by adding the **market value of all final goods and services** produced in the economy during a year.

We multiply the **quantity produced** by the **price** of each good and then add them.

Formula (GNP):

$$\text{GNP} = (P_1Q_1 + P_2Q_2 + \dots + P_nQ_n) + \text{Net Income from Abroad}$$

Where:

- **P** = price of each good
- **Q** = quantity of each good
- **Net income from abroad** = income received from other countries minus income paid to them

☆ Conclusion

National income can be measured from

- what people **earn** (Income Method),
- what they **spend** (Expenditure Method), or
- what the country **produces** (Output Method).

All three give the same national income when calculated correctly.

Q2. What are the various definitions of national income? Describe the determining factors of national income.

I). Traditional Definitions

□ According to A.C. Pigou:

"National Income is that portion of the community's objective revenue that can be quantified in money, including, of course, income generated from abroad."

□ According to Alfred Marshall:

"The labour and capital of a country, acting on its natural resources, produce annually a certain net aggregate of commodities, material and non-material including services of all kinds."

□ According to Fisher:

"The national income consists solely of services as received by ultimate consumers, whether from their material or from their human environment. Only the services rendered during this year are income."

Modern Definition

According to Kuznets:

"National income is defined as the net output of goods and services flowing during the year from the country's productive system into the hands of the final consumers."

II). Factors Determining National Income

1. Natural and Human Resources

The more natural resources (land, rivers, minerals) and skilled labour a country has, the higher its production and national income will be. A good climate also supports production.

2. Quantity and Quality of Factors of Production

Better quality and larger quantity of land, labour, capital, and entrepreneurship increase production. For example, fertile land and enough rainfall improve agricultural output.

3. State of Technology

A country with advanced technology produces more efficiently. Low technology reduces production, leading to lower national income.

4. Political Stability

Stable governments encourage investment, production, and economic growth. Political unrest reduces production and lowers national income.

5-Marks Q&A

1Q. What are the factors that determine national income?

National income is the total money value of all final goods and services produced within a country during a financial year.

Factors Determining National Income

1 Natural and Human Resources:

If a country has fertile land, minerals, rivers, energy resources, and skilled people, its production will be high, increasing national income.

2 Quantity and Quality of Factors of Production:

More and better land, labour, capital, and entrepreneurship help produce more goods and services. Good climate and rainfall also support production.

3 State of Technology:

Advanced technology increases production and efficiency. Poor technology leads to low national income.

4 Political Stability:

A peaceful and stable government encourages investment and production. Countries with instability often have lower national income.

2Q. What are the national income at market prices and national income at factor cost?

National income is the total money value of all final goods and services produced within a country during a financial year.

1 GNP at Market Prices (GNP at MP)

GNP at Market Prices is the total value of all final goods and services produced by the *nation's residents* (inside or outside the country) **measured at market prices**.

It **includes indirect taxes** and **excludes subsidies**, because these affect market price.

Example:- If the total value of goods and services produced by Indians (in India + abroad) at market prices is ₹600 crore, then **GNP at MP = ₹600 crore**.

2 GNP at Factor Cost (GNP at FC)

GNP at Factor Cost is the total income earned by all factors of production (land, labour, capital, enterprise) owned by the nation's residents.

It **excludes indirect taxes** and **includes subsidies**, because these affect producers' actual earnings.

Formula:

$$\text{GNP at FC} = \text{GNP at MP} - \text{Indirect Taxes} + \text{Subsidies}$$

Example:

Suppose:

- GNP at MP = ₹600 crore
- Indirect taxes = ₹30 crore
- Subsidies = ₹10 crore

Then,

$$\text{GNP at FC} = 600 - 30 + 10 = ₹580 \text{ crore}$$

2-Marks Q&A

1Q. Expand C.S.O. What is its responsibility?

C.S.O. stands for **Central Statistical Organization** is responsible for **collecting national data and preparing national income estimates** for the country.

Q2 What is Per Capita Income?

Per capita income is the **average income earned per person** in a country in a year. It is calculated by **dividing national income by total population**.

$$\text{Per-capita income} = \frac{\text{National income}}{\text{Country's population}}$$

Q3. What is Gross National Product (GNP)?

GNP is the **total value of all final goods and services produced** by the residents of a country in one year, **including income earned from abroad**.

Q4. What are transfer payments? Give example.

Transfer payments are **payments received without doing any work or producing goods**. Examples: pensions, scholarships, unemployment benefits, and relief payments.

$$\text{GNP} = \text{GDP} + (\text{Factor Income Earned Abroad} - \text{Factor Income Paid Abroad})$$

Q5. What is Depreciation?

Depreciation is the **loss of value of machines and tools** due to regular use, wear and tear, or time. It shows how much value a fixed asset loses every year

Example:- A machine becomes slower and less efficient each year.

CHAPTER- 8

THEORIES OF EMPLOYMENT AND PUBLIC FINANCE.

10-Marks Q&A

1Q.Explain the Keynesian theory of employment.

The Classical economists believed that an economy always stays at **full employment** in the long run. But **J.M. Keynes (1936)** rejected this idea. According to Keynes, **unemployment is common**, and an economy can remain stuck at a **less-than-full employment level**. He stated that the main reason for unemployment is a **lack of aggregate demand in the economy**.

Therefore, the **Keynesian Theory of Employment** is based on the idea that:

☞ **Employment depends on Effective Demand.**

☞ **When effective demand is low, employment will also be low.**

To explain the Keynesian theory of employment, we need to understand the Aggregate Demand, Aggregate Supply, and Effective Demand

1. Aggregate Demand (AD)

- Aggregate Demand means the **total spending** in the economy at a particular level of employment. It includes:
 - **Consumption expenditure (C)** – spending by households
 - **Investment expenditure (I)** – spending by firms on machines, buildings, etc.

Therefore,

$$AD = C + I$$

AD curve **slopes upward** from left to right. This shows that more employment leads to more demand.

2. Aggregate Supply (AS)

- Aggregate Supply refers to the **total income** that producers must receive to offer employment and produce goods.
- As employment increases, producers need **higher income** to pay wages and costs. Therefore, AS **slopes upward** as employment rises.

3. Effective Demand

Effective demand is the point where **Aggregate Demand (AD)** equals **Aggregate Supply Price (ASP)**. At this point, it decides the actual level of output and employment in the economy.

Tabular Explanation

Level of Employment (lakhs)	Aggregate Supply Price (Rs. crores)	Aggregate Demand Price (Rs. crores)
10	500	600
11	550	625
12	600	650
13	650	675
14	700	700
15	750	725
16	800	750

- I. Both AS and AD increase as employment rises.
- II. At 14 lakh workers, $AD = AS = \text{Rs. 700 crores}$.
- III. This is the **point of effective demand**, meaning the economy produces exactly what people are willing to buy.

Graphical Explanation

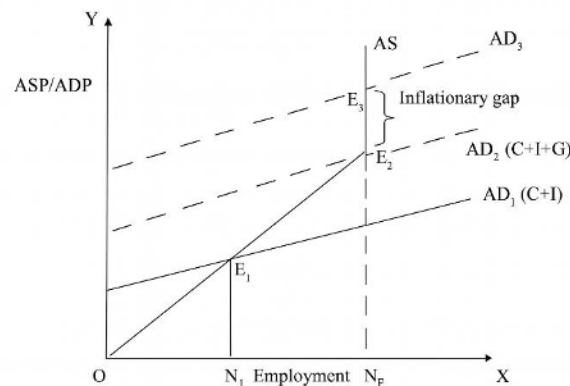


Fig-8.5: Effective Demand

- **X-axis:** Employment . **Y-axis:** Aggregate Demand / Aggregate Supply .

Point E₁ – Underemployment Equilibrium

- The first demand curve AD_1 meets the supply curve AS at E_1 .
- This point is **below full employment (ON_1)**, meaning many workers and resources are still unused.
- It shows **underemployment**, where the economy is working below its capacity.

Government Intervention

- Keynes said private spending is not enough to achieve full employment.
- Therefore, the **government should increase its spending (G)** on public works.
- This shifts the demand curve upward from $AD_1 \rightarrow AD_2$.

Point E₂ – Full Employment Equilibrium

- The new demand curve $AD_2 (C+I+G)$ meets AS at E_2 .
- This point represents **full employment (N_f)**, because at this point, **all resources and workers are fully used**.

Point E₃ – Inflationary Gap

- If demand keeps rising, the curve shifts to AD_3 .
- AS becomes vertical because **output cannot increase beyond full employment**.
- The gap between E_2 and E_3 is the **inflationary gap**, where prices rise but output does not increase.

Q2. Critically examine the Classical Theory of Employment.

The Classical Theory of Employment, developed by economists like Adam Smith, David Ricardo, J.B. Say and A.C. Pigou, assumes that a free-market economy automatically moves toward **full employment**. They believed that price flexibility, wage flexibility and interest rate adjustments ensure that all resources, including labour, are fully utilized without government intervention.

Assumptions

1. **Free enterprise economy:**
2. **Perfect competition**

3. **No government intervention.**
4. **Long-run equilibrium perspective.**
5. **All savings are automatically invested**
6. **Flexible wages and prices**

1. Goods Market Equilibrium (Say's Law of Markets)

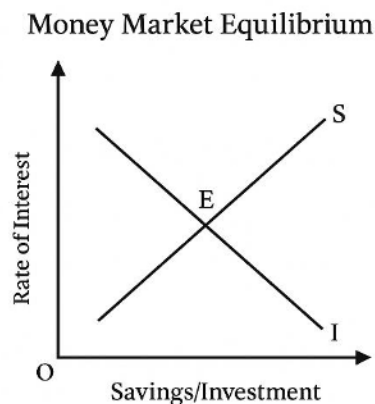
Say's Law states that **"Supply creates its own demand."**

When firms produce goods, they generate income equal to the value of output. This income creates sufficient demand for the goods produced. Hence, **general overproduction is impossible**, and unemployment cannot continue in the economy..

2. Money Market Equilibrium (Savings–Investment Equilibrium)

Classical economists assumed that the **rate of interest** ensures equilibrium between **savings and investment**.

- If savings exceed investment, interest rate falls and stimulates investment.
- If investment exceeds savings, interest rate rises, encouraging more savings.



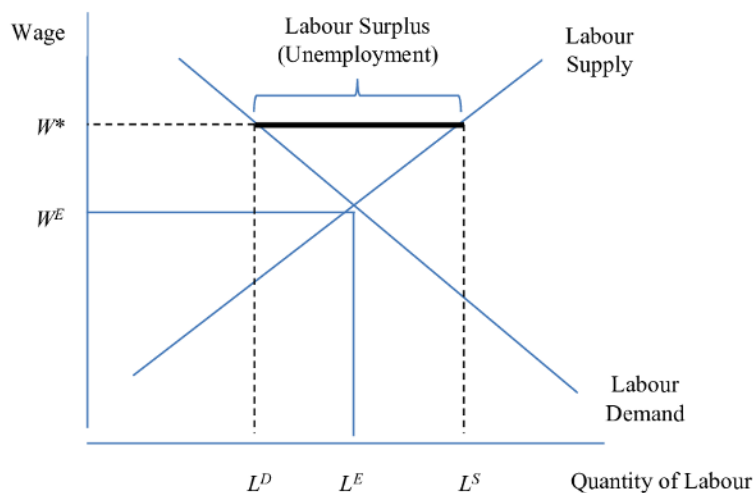
Graph Explanation:

- Downward sloping *Savings (S)* curve and upward sloping *Investment (I)* curve meet at equilibrium interest rate.
- This ensures stability in the money market.

3. Labour Market Equilibrium (A.C. Pigou Wage-Cut Policy)

Classical economists believed that unemployment is caused by **high wages**.

- If wages fall, firms employ more labour → unemployment disappears.
- Demand for labour is an inverse function of real wage, while supply of labour is a direct function.
- At the wage rate where labour supply equals labour demand, the labour market reaches **full employment**



Graph Explanation:

- Downward sloping Demand for Labour curve (DL) intersects upward sloping Supply of Labour curve (SL).
- Wage flexibility ensures full employment equilibrium.

Major Aspects of the Classical Theory.

1. **No general overproduction or unemployment:** Markets adjust automatically to restore equilibrium.
2. **Automatic price and wage adjustments:** Ensure full employment in the long run.
3. **Savings equal investment:** Flexible interest rate maintains equilibrium in the money market.

Limitations of the Classical Theory.

1. **Assumption of full employment is unrealistic:** Modern economies face persistent unemployment.
2. **Wage-cut policy is impractical:** Wage reduction decreases income and demand, worsening unemployment.
3. **Automatic market adjustment does not always occur:** The Great Depression proved this wrong.
4. **Money is not neutral:** Keynes showed money affects output, income and employment.

5-Marks Q&A

Q1. What are the sources of public revenue?

Public revenue is the money received by the government from different sources to run the country.

1. Tax Revenue

Tax revenue is simply the money the government collects from people and businesses through mandatory payments called taxes

a) **Direct Taxes:-**These are paid directly by individuals and businesses.

Examples:

- Income Tax (paid by employees)
- Wealth Tax

b) **Indirect Taxes:-**Taxes on goods and services.

Examples:

- GST on products
- Excise duty on petrol

2. Non-Tax Revenue

Income earned by the government from non-tax sources.

a) Administrative Revenue:- Money earned from fees, fines, and penalties.

Example: Court fees, traffic fines.

b) Commercial Revenue:- Income from government-owned companies.

Examples: Indian Railways, BHEL, Air India.

c) Loans and Advances:- The government borrows money from RBI, public, or foreign agencies.

Examples: World Bank loan, RBI loan.

d) Grants-in-Aid:- Free financial help received from other governments or international bodies.

Example: Aid from UNICEF or WHO.

Q2. Point out the redemption methods of public debt.

Ans. Redemption of public debt means repaying the government's borrowed money.

1. Refunding:- Old loans are replaced with fresh loans.

Example: Replacing a 5-year loan with a new 10-year loan.

2. Conversion:- High-interest loans are converted into low-interest loans.

Example: Reducing the interest rate on government bonds from 8% to 6%.

3. Surplus Budget:- Using extra revenue to repay debt.

Example: If government income increases, the surplus is used for loan repayment.

4. Sinking Fund:- The Government saves some money every year in a special fund to repay future loans.

Example: Setting aside ₹1,000 crore every year for debt repayment.

5. Additional Taxation:- The Government introduces new taxes to collect funds for debt repayment.

Example: Increasing GST or imposing a special surcharge.

6. Capital Levy:- A one-time heavy tax on wealth/property to repay public debt.

Example: Tax on rich households' property during a financial crisis.

Q3. Write a note on Finance Commission.

Ans. The Finance Commission is a constitutional body created under **Article 280** to distribute financial resources between Centre and States.

Functions of the Finance Commission

1. Distribution of Tax Revenue:- It recommends how taxes such as Income Tax are shared between Centre and States.

Example: 15th Finance Commission recommended 41% share to states.

2. Grants-in-Aid:- It suggests how much money should be given to states for specific needs.

Example: Grants for health, education, or disaster relief

3. Strengthening Local Bodies:- It recommends funds for Panchayats and Municipalities.

Example: Grants for village roads, drinking water, street lights.

4. Ensuring Financial Stability:- It helps maintain fair and balanced financial relations between Centre and States.

5. Advisory Role:- It advises the President on any financial matter.

Example: How to manage the imbalance between rich and poor states.

Q3.. List out various items of public expenditure.

Public expenditure refers to the money spent by the government for development and welfare.

various items of public expenditure

1. **Defence** – Army, Navy, Air Force expenses.

2. **Internal Security** – Police, CRPF, law and order.
3. **Economic Services** – Spending on agriculture, roads, railways.
4. **Social Services** – Education, hospitals, welfare schemes.
5. **Subsidies** – Fertilizer subsidy, LPG subsidy.
6. **Pensions** – Retirement pensions for government employees.
7. **Grants to States** – Financial help to state governments.
8. **Loans** – Loans to public enterprises like BSNL or foreign nations.
9. **Relief for Natural Disasters** – Flood relief, cyclone relief.

5-Marks Q&A

Q1. What is a budget?

The budget is an **Annual Financial Statement** of the government that estimates expected income and planned expenditure for the next financial year (April 1 to March 31). The Government of India presents the Union Budget every year on February 1st.

Q2. What is Say's law of markets?

Say's Law, proposed by **J.B. Say**, states that *"Supply creates its own demand."* This means when goods are produced, income is generated, and people use that income to buy other goods.

Q3. Write in brief about GST.

GST (Goods and Services Tax) is a **single indirect tax** on the sale of goods and services in India. It started on **1st July 2017** and replaced many taxes like VAT, Service Tax, and Excise Duty. GST has four main tax slabs: **5%, 18%, and 40%.**

Example: When you buy a mobile phone, 18% GST is charged on it.

Q4. Write a note on the deficit budget.

A deficit budget occurs when the government's **expenditure is more than its revenue**. It shows the government is spending more than it earns.

Example: If the government earns ₹10 lakh but spends ₹12 lakh → deficit ₹2 lakh.

Q5. Mention the functions of the Finance Commission.

1. **Distribution of Tax Revenue** between Centre and States,
2. **Grants-in-Aid** to States for development needs, and
3. **Supporting Local Bodies** like Panchayats and Municipalities through recommended financial grants.

CHAPTER- 9

MONEY, BANKING, INFLATION

5-Marks Q&A

Q1. Explain the primary and secondary functions of money.

Money is anything that is widely accepted as a medium of exchange, measure of value, store of value, and means of payment.

The functions of money are broadly divided into **Primary Functions** and **Secondary Functions**.

1. Primary Functions

i) Medium of Exchange:- Money is used to buy and sell goods and services. It removes the difficulties of the barter system and makes trade easy.

Example: Buying vegetables, clothes, or groceries with money.

ii) Measure of Value:- Money provides a common unit (like rupees) to measure the value of goods and services. It helps compare prices easily.

Example: A pen costs ₹20, a book costs ₹200—money helps us measure and compare their values.

2. Secondary Functions

i) Standard of Deferred Payments:- Money is used for payments that are made in the future, such as loans, installments, or EMIs. It makes borrowing and lending simple and fair.

Example: Paying monthly EMIs for a mobile phone loan.

ii) Store of Value:- Money can be saved and used later. It allows people to store their wealth safely for future needs.

Example: Saving money in a bank account.

Q2. Define inflation and explain its types.

Inflation means a continuous rise in the **general price level** over time, which reduces the purchasing power of money.

Types of Inflation

A. Based on the Rate of Inflation

1. Creeping Inflation: When prices rise very slowly (0–2% per year), it is called creeping inflation. It is mild and helps the economy grow.

Example: If a ₹100 soap becomes ₹102 next year → creeping inflation.

2. Walking Inflation:- When prices rise moderately at 2–4% per year, it is called walking inflation. It shows the economy is growing steadily.

Example: Price of rice increases from ₹40 to ₹41–₹42 in a year.

3. Running Inflation:- When prices rise faster, around 4–10% per year, it is called running inflation. This level of inflation needs control.

Example: Milk price increases from ₹50 to ₹55–₹60 in one year.

4. Galloping or Hyper-inflation

When inflation rises above 10% per year, it becomes galloping or hyper-inflation. Prices rise very fast and the economy gets damaged.

Example: If sugar price jumps from ₹40 to ₹80 or ₹100 within a year → hyper inflation.

B. Based on the Cause of Inflation

1. Demand-Pull Inflation:

When demand for goods increases more than their supply, prices rise. This is called demand-pull inflation.

Example: During festivals, demand for sweets rises sharply → prices also increase.

2. Cost-Push Inflation: - When the cost of production increases, producers raise prices. This is called cost-push inflation.

Example: - If petrol prices rise → transportation becomes expensive → vegetable prices also increase.

Q3. What is a barter system? What are its difficulties?

The **barter system** is a method of exchange where **goods are exchanged for goods** without using money.

Example: A farmer gives wheat to a weaver in exchange for clothes.

Difficulties of the Barter System

1. Lack of Store of Value:- Many goods cannot be stored for a long time because they perish or spoil.

Example: Fruits, vegetables, and milk cannot be saved for future use.

2. Lack of Divisibility:- Some goods cannot be divided into smaller parts for small payments.

Example: A goat cannot be divided to buy just 2 kg of rice.

3. Double Coincidence of Wants:- Both persons must want what the other offers, which rarely happens.

Example: A farmer wanting shoes must find a shoemaker who wants rice at the same time.

4. Difficulty in Deferred Payments:- Future payments are difficult because the value of goods may change over time.

Example: Agreeing to repay 10 kg of rice next month becomes uncertain if rice prices change.

5. No Common Measure of Value:- There is no single unit to measure the value of all goods.

Example: It is hard to compare the value of 1 chair with 5 oranges.

Q4. Identify the causes of inflation.

Inflation is a continuous rise in general prices. It can be caused by excess demand, rising production costs, or supply shortages.

A. Demand-Side Causes (Demand-Pull Inflation)

1. High Population Growth:- More people create more demand, causing prices to rise.

Example: More demand for rice increases its price.

2. Reduction in Taxes:- Lower taxes increase disposable income → more spending.

Example: GST cut increases demand for consumer goods.

3. Increase in Money Supply:- More money in people's hands → more buying → higher prices.

Example: Easy bank loans increase vehicle demand.

B. Cost-Side Causes (Cost-Push Inflation)

1. Rise in Wages, Rent, Interest:- Higher production costs increase final product prices.

Example: Higher factory wages raise prices of goods.

2. Increase in Raw Material Prices:- If inputs become expensive, companies raise prices.

Example: Expensive crude oil increases transport and goods prices.

3. Increase in Cost of Production:- Electricity charges, fuel cost, machinery cost rise → prices rise.

C. Supply-Side Factors (Inadequate Supply)

1. Poor Monsoons, Floods, Pests:- Agricultural output falls → shortage → high prices.

Example: Vegetable prices rise after floods.

2. Artificial Scarcity and Black-Marketing:- Goods are hoarded to create a shortage and sell at higher prices.

Example: Hoarding onions to raise prices.

3. Long Gestation Period of Industries:- Some industries take years to produce output → supply cannot increase quickly.

Example: Steel plants, refineries.

Q5. State any three major (general) functions of a central bank.

A central bank, like the Reserve Bank of India (RBI), controls the banking system and ensures financial stability through several key functions.

1. Custodian of Cash Reserves

Commercial banks keep a part of their cash reserves with the central bank for safety and emergency needs.

Example: RBI holds reserves of SBI, HDFC, and other banks.

2. Clearing House

The central bank settles mutual payments between commercial banks, helping smooth and quick transactions.

Example: RBI clears cheque payments between SBI and ICICI Bank.

3. Note-Issuing Function

The central bank has the exclusive authority to issue currency notes (except one-rupee notes/coins).

Example: RBI prints ₹10, ₹100, ₹500 currency notes.

Q6. Explain the different kinds of deposits accepted by commercial banks.

Commercial banks accept different types of deposits from the public. These deposits help people save money and allow banks to provide loans.

1. Savings Deposits:- These accounts are meant for regular small savings by individuals. Banks pay moderate interest on them.

Example: A salaried person saving monthly in an SBI Savings Account.

2. Current Deposits:- Accounts are mainly used by business people for daily transactions. No interest is paid, but unlimited withdrawals are allowed.

Example: A shopkeeper using a Current Account in HDFC Bank.

3. Fixed Deposits (Term Deposits) :- Money is deposited for a fixed period (6 months, 1 year, 5 years). Banks pay higher interest because the amount is locked in.

Example: ₹50,000 deposited for 2 years at ICICI Bank.

4. Recurring Deposits (RD):- A fixed amount is deposited every month, and interest is earned on the total. Useful for small, regular savers.

Example: Depositing ₹500 every month in an SBI RD account.

5. Demand Deposits:- Deposits that can be withdrawn at any time without notice.

Example: Money in a Savings Account or Current Account.

5-Marks Q&A

Q1. What is currency?

Currency is the money used for buying and selling goods and services. It includes paper notes and coins issued by the government and accepted by everyone.

Example: ₹10 note, ₹5 coin.

Q2. What is Clearance House?

A clearing house helps banks settle their cheque payments and other financial transactions with each other. It acts like a middleman to clear and settle amounts.

Example: RBI clearing cheques between SBI and HDFC Bank.

Q3. What is a barter system?

The barter system is the exchange of goods or services directly for other goods or services without using money.

Example: Wheat exchanged for rice.

Q4. What is net banking? Explain its merits.

Net banking is an online banking service that lets customers make transactions through the internet.

Merits:

1. Can be used anytime and anywhere.
2. Money transfer and bill payments are done quickly.
3. **24/7 Access:**
4. **Easy Tracking:**

Q5. Near money.

Near money refers to assets that are not cash but can be easily changed into cash when needed.

Examples:

Fixed deposits, treasury bills, savings bonds.

Q6. Overdraft and its uses.

Overdraft is a loan taken from a bank that allows a person to withdraw more money than what is in their account.

Uses:

1. Helps pay urgent expenses.
2. Useful for short-term financial needs.
3. Provides flexibility to business owners.

Q5. Explain the types of inflation.

A) Based on Rate of Inflation

1. **Creeping Inflation:** Slow rise in prices (1–3%).
2. **Walking Inflation:** Moderate rise (3–4%).
3. **Running Inflation:** High price rise every month.
4. **Hyperinflation:** Very fast rise in prices.

B) Based on the Cause of Inflation

1. **Demand-Pull Inflation:** When *high demand for gold increases its price*.
2. **Cost-Push Inflation:** When production cost rises.

Q6. What is token money?

Token money is money whose face value is higher than the intrinsic (value of the metal used) to make it.

Examples: ₹100, ₹200, ₹500 notes.

Q7. Recurring deposits.

A recurring deposit is a bank account where a person deposits a fixed amount every month and earns interest.

Example: Depositing ₹500 per month for 2 years in SBI RD.

Q8. What are the objectives of central bank?

1. **Maintain financial stability** in the country.
2. **Control inflation** by regulating money supply.
3. **Ensure full employment** and smooth economic growth.
4. **Maintain stable interest and exchange rates.**

CHAPTER- 10

BASIC STATISTICS FOR ECONOMICS

5-Marks Q&A

Q1 What is statistics? Explain its relationship with economics.

Statistics means **collecting, organizing, analyzing, and interpreting numerical data**. It helps to understand facts using numbers.

Example: Average rainfall, population growth rate.

Relationship with Economics:

1. **Helps in economic analysis:** Statistics make it easier to study income, prices, employment, etc.
2. **Useful in decision-making:** Governments and businesses use statistics to make policies.
3. **Studies economic behavior:** Helps study consumers, producers, and markets with numerical data.
4. **Helps estimate trends:** Used for forecasting production, demand, and growth.
5. **Used in planning:** Statistics help prepare budgets, poverty estimates, and national income.

Q2. What is Median? What are its merits and drawbacks?

Median is the **middle value** of a series when the data is arranged in ascending or descending order.

Example: In 2, 5, 7 → Median = 5.

Merits:

1. Simple to understand and calculate.
2. Not affected by very high or very low values.
3. Useful even when extreme values are unknown.
4. Best measure when data is uneven or skewed.

Drawbacks:

1. Ignores the size/magnitude of items.

2. Not suitable for further mathematical use.
3. Cannot represent large-variation data well.
4. Affected by sampling changes.

Q3. What is the Arithmetic Mean? What are its merits and drawbacks?

Arithmetic Mean (A.M.) is the **average of all values** in a series.

Formula:

$$AM = \frac{\text{Sum of Values}}{\text{Number of Values}}$$

$$\text{Example: } AM = \frac{5+6+8+1}{4} = \frac{20}{4} = 5$$

Merits:

1. Easy to calculate and understand.
2. Considered a scientific and widely used average.
3. Uses every item in the data.
4. Suitable for further mathematical calculations.
5. Stable and definite value.

Drawbacks:

1. Affected by extreme values.
2. Cannot be found by just “looking” at data.
3. A single unusually high/low value can change the mean.

Example: Adding 100 to {3, 6, 9} increases the average greatly.

4. Sometimes gives unrealistic results.

Example: Average number of children = 4.3 (not possible in reality)

Q4. What is Mode? What are its merits and drawbacks?

Mode is the **most repeated value** in a data set.

Example: In 2, 3, 3, 5 → Mode = 3.

Merits:

1. Very easy to understand.
2. Not affected by extreme values.
3. Can be located graphically.
4. Best for large data with open intervals.
5. Used in daily life averages (like shoe sizes, marks).
6. Represents the most common or popular value.

Drawbacks:

1. Not useful if the data has two or more modes (bimodal).
2. Based only on the most frequent value; ignores all others.
3. Unstable—changes with different samples.
4. Cannot be used for mathematical operations.
5. If no value repeats, mode cannot be found.

2-Marks Q&A

Q1. Compute the median for the following data:

5, 7, 7, 8, 9, 10, 12, 15, 21

Step 1: Arrange the data.

5, 7, 7, 8, 9, 10, 12, 15, 21

Step 2: Identify Number of items (N) = 9

$$\text{Median} = \left(\frac{N+1}{2} \right)^{\text{th}} \text{ term} = \left(\frac{9+1}{2} \right) = \frac{10}{2}$$

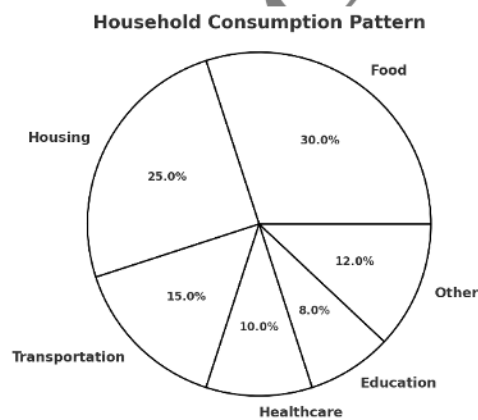
Median = 5th term

Median = 9

Q2. Pie Diagram

A **pie diagram** is a circular chart divided into slices to show **proportions** of different items. Each slice shows the share of a particular category in the total.

Example:



Q3. Explain the concept of mode.

Mode is the most repeated value in a data set.

Example:

In 2, 3, 3, 5 → Mode = 3

Merits:

1. Easy to understand and calculate.
2. Useful for open-ended classes.
3. Not affected by extreme values.
4. Can be shown on a graph.

Q4. Find the mode from the following data:

Wages	380	430	480	480	480	480	480	520	590	600	600
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Mode is the most repeated value in a data set.

Arrange the data:

380, 430, 480, 480, 480, 480, 480, 520, 590, 600, 600

480 repeated **5 times**, more than any other value.

✓ **Mode = 480**

Q5. Explain the concept of geometric mean.

Geometric Mean is the average value of a set of numbers found by multiplying all the values and then taking the nth root (where n is the number of values). It is useful for ratios, percentages, and growth rates.

Formula:

$$GM = \sqrt[n]{X_1 \times X_2 \times \cdots \times X_n}$$

Q6. Explain the concept of harmonic mean.

Harmonic Mean (H.M.) is the reciprocal of the average of reciprocals of the values. Useful when data involves rates (speed, price per unit, etc.).

(or)

Harmonic Mean is an average used for rates. It is calculated by first taking 1 divided by each value, finding their average, and then again dividing 1 by that average

Formula:

$$HM = \frac{N}{\left(\frac{1}{x_1} + \frac{1}{x_2} + \cdots + \frac{1}{x_n}\right)}$$

Example:

If speeds are 60 km/hr and 30 km/hr:

$$HM = \frac{2}{\left(\frac{1}{60} + \frac{1}{30}\right)} = 40 \text{ km/hr}$$

 VERY IMPORTANT LONG ANSWER QUESTIONS (LAQ's) – 10 Marks

CHAPTER 2 : THEORIES OF CONSUMER BEHAVIOUR

Q1. Describe the law of diminishing marginal utility, its limitations and importance.

(Mar - 25, 24, 23, 20, 19, 18, May - 25, 24, 23, 22, 19, 18, Aug - 22, Oct - 21)

Q2. Illustrate the consumer's equilibrium using the indifference curve analysis.

(Mar - 17, 16, May - 16)

CHAPTER 4 : PRODUCTION ANALYSIS

Q3. Critically examine the law of variable proportions.

(Mar - 24, 23, 20, 16, 15, May - 24, 23, 22, 19, 18, 16, Aug - 22)

Q4. Explain the internal and external economies.

(Mar - 25, 19, May - 25)

CHAPTER 5 : MARKET ANALYSIS

Q5. Explain the meaning of perfect competition. Illustrate the mechanism of price determination under perfect competition.

(Mar - 25, 24, 23, 20, 19, 17, 16, May - 25, 24, 23, 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

CHAPTER 7 : NATIONAL INCOME ANALYSIS

Q6. What are the methods of calculating national income? Explain them.

(Mar - 25, 24, 20, 19, 17, 16, May - 25, 24, 23, 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

Q7. What are the various definitions of national income? Describe the determining factors of national income.

(Mar - 23, May - 23)

CHAPTER 8 : THEORIES OF EMPLOYMENT AND PUBLIC FINANCE

Q8. Explain the Keynesian theory of employment.

(Mar - 25, 24, 20, 19, 17, 16, May - 25, 24, 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

Q9. Critically examine the classical theory of employment.

(Mar - 24)

□ VERY IMPORTANT SHORT ANSWER QUESTIONS (SAQ's) – 5 Marks

CHAPTER 1 : INTRODUCTION TO ECONOMICS

Q1. What is utility? What are its types?

(Mar - 25, 24, 23, 20, 19, 16, May - 24, 23, 22, 19, 17, 16, Oct - 21)

Q2. Analyse the characteristics of wants.

(Mar - 25, 20, 18, 17, May - 24, 22, 18, Aug - 22, Oct - 21)

Q3. Distinguish between Microeconomics and Macroeconomics.

(Mar - 18, 15, May - 17, Aug - 22)

Q4. Explain the scarcity definition of economics.

(Mar - 23, 19, 17, May - 18)

Q5. Explain the differences between free goods and economic goods.

(May - 23, 22, Aug - 22)

Q6. Explain the growth definition of economics.

(Mar - 24)

CHAPTER 3 : DEMAND ANALYSIS

Q7. Illustrate the reasons for negative sloping demand curve.

(Mar - 25, 24, 23, 20, 19, 17, 16, May - 24, 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

Q8. Explain the exceptions of law of Demand.

(Mar - 23, 19, 18, May - 23, 19)

Q9. What are the factors that determine demand.

(Mar - 25, 24, 20)

CHAPTER 4 : PRODUCTION ANALYSIS

Q10. Point out the importance of "Price Elasticity of Demand".

(Mar - 23, 19, 16, May - 23, 16)

Q11. What are the internal economies of scale.

(Mar - 24, 23, 20, May - 24, 22, Aug - 22)

Q12. What is supply? Explain the determinants of supply.

(Mar - 25, 24, 23, May - 25)

Q13. Discuss the types of costs.

(Mar - 23, 17, Aug - 22)

Q14. Explain the relation between Average cost and Marginal Cost.

(May - 25, 24, 22, Oct - 21)

CHAPTER 5 : MARKET ANALYSIS

Q15. What is monopoly? What are its characteristics.

(Mar - 25, 24, May - 24, 23, 22, 19, Aug - 22, Oct - 21)

Q16. Write a note on classification of market based on time and area.

(Mar - 19, 18, 15, May - 19, 18, 17, Aug - 22)

Q17. What are the characteristics of monopolistic competition?

(Mar - 20, 15, May - 22, Aug - 23)

Q18. Explain the concept of duopoly and its characteristics.

(Mar - 23)

CHAPTER 6 : THEORIES OF DISTRIBUTION

Q19. What are the determining factors of real wages?

(Mar - 25, 24, 23, 20, 19, 17, 16, May - 25, 24, 23, 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

CHAPTER 7 : NATIONAL INCOME ANALYSIS

Q20. What are the factors that determine national income?

(Mar - 25, 24, 23, 20, 19, 17, 16, May - 25, 24, 23, 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

Q21. What are national income at market prices and national income at factor cost?

(Mar - 18, May - 19)

CHAPTER 8 : THEORIES OF EMPLOYMENT AND PUBLIC FINANCE

Q22. What are the sources of public revenue?

(Mar - 24, 20, 19, 18, 16, 15, May - 22, 19, 18, 17, 16, Aug - 22, Oct - 21)

Q23. Point out the redemption methods of public debt.

(Mar - 25, 19, 18, 17, May - 25, 24, 22, Aug - 22)

Q24. List out various items of public expenditure.

(Mar - 23, May - 23, 17)

Q25. Write a note on finance commission.

(Mar - 16, May - 16)

CHAPTER 9 : MONEY, BANKING AND INFLATION

Q26. Explain the primary and secondary functions of money.

(Mar - 25, 23, 17, 16, May - 23, 22, 19, 18, 17, 16)

Q27. Define inflation and explain its types.

(Mar - 24, 19, 18, 17, May - 22, 19, 18, 17, 16, Aug - 22)

Q28. What is barter system? What are its difficulties?

(Mar - 24, 19, 18, 15, May - 24, 22, Aug - 22)

Q29. Identify the causes of inflation.

(Oct - 21)

Q30. State any three major (general) functions of a central bank.

(May - 18, Oct - 21)

Q31. Explain the different kinds of deposits accepted by the commercial banks.

(Mar - 19, May - 25)

Chapter 10: Basic Statistics for Economics

- Q32. What is statistics? Explain its relationship with economics. (Mar - 25, 24, 23, 20, 18, 17, May - 25, 24, 23, 22, 18, Aug - 22, Oct - 21)
- Q33. What is Median? What are its merits and drawbacks? (Mar - 25, 20, May - 24)
- Q34. What is Arithmetic Mean? What are its merits and drawbacks? (Mar - 24, Oct - 21)
- Q35. What is Mode? What are its merits and drawbacks? (Mar - 23, May - 23)

VERY IMPORTANT VERY SHORT ANSWER QUESTIONS (VSAQ's) – 2 MARKS

CHAPTER 1: INTRODUCTION TO ECONOMICS

- Q1. Explain the wealth definition. (Mar - 24, May - 23, 22, 19, Aug - 22)
- Q2. What is microeconomics? (Mar - 24, 23, May - 24, 23, 22)
- Q3. Explain the Capital Goods. (Mar - 25, 15, May - 22, 17)
- Q4. What is macroeconomics. (Mar - 25, 20, May - 25, 22, Oct - 21)
- Q5. What is price? (Mar - 25, May - 22, Oct - 21)
- Q6. Explain the consumer goods. (May - 19, 18, Aug - 22)
- Q7. Intermediary Goods. (Mar - 19, 18)
- Q8. What are free goods? (May - 25, 24)
- Q9. Explain economic goods. (Mar - 20, Oct - 21)
- Q10. Explain normative economics. (Mar - 20, Oct - 21)

CHAPTER 2: THEORIES OF CONSUMER BEHAVIOUR

- Q11. Draw the indifference map. (Mar - 25, 23, 20, May - 25, 24, 23, 22, Oct - 21)
- Q12. What is price line / budget line? (Mar - 25, 24, 23, 18, 15)
- Q13. Explain ordinal utility. (Mar - 23, 22, May - 25, 24, 22, 18, 17)
- Q14. Explain cardinal utility. (Mar - 20, 19, 17, May - 19, 22, Oct - 21)

CHAPTER 3: DEMAND ANALYSIS

- Q15. What is demand function? (Mar - 25, 24, 23, 20, 19, 18, 17, 16, May - 24, 22, 19, 18, 16, Oct - 21)
- Q16. Explain Giffen's paradox. (Mar - 25, 20, May - 19, 18, 16)
- Q17. Types of Price elasticity of demand. (Mar - 19, 18, 16, May - 22)
- Q18. What is cross demand? (Mar - 24, 15, May - 22)
- Q19. Explain unitary elastic demand? (Mar - 24, 23, May - 23)
- Q20. Explain perfectly inelastic demand? (Mar - 25, May - 25)
- Q21. Price demand (or) Law of demand. (Mar - 15, May - 22, Aug - 22, Oct - 21)
- Q22. Explain complementary goods. (May - 23, 17, Aug - 22)
- Q23. Define superior goods. (May - 24, 23)
- Q24. Explain cross elasticity of demand. (Mar - 23)
- Q25. What is income demand? (May - 24)

CHAPTER 4: PRODUCTION ANALYSIS

- Q26. What is an opportunity cost? (Mar - 24, May - 24, 23, 22)
- Q27. Define the production function. (Mar - 20, May - 22, 18, Aug - 22, Oct - 21)
- Q28. Define law of supply. (Mar - 16, May - 17, 16)
- Q29. What are money costs? (Mar - 23, 17, Aug - 22)
- Q30. What is division of labour? (Mar - 25, May - 25)
- Q31. Explain the classification of factors of production. (Oct - 21)
- Q32. What is the meaning of average cost? (Mar - 19, May - 19)

CHAPTER 5: MARKET ANALYSIS

- Q33. What are the selling costs? (Mar – 25, 23, 20, 19, 17, May – 25, 19, 18, 17)
Q34. Define Monopoly. (Mar – 19, 18, 15, May – 19, 18, 17, Aug – 22)
Q35. What is product differentiation? (Mar – 18, 17, 15)
Q36. Define Oligopoly. (Mar – 24, May – 24)
Q37. What is duopoly? (May – 23)
Q38. What is monopolistic competition? (Mar – 16, May – 16)

CHAPTER 6: THEORIES OF DISTRIBUTION

- Q39. What is net interest? (Mar – 24, 23, 17, May – 25, 24, 23, 18, 17, Aug – 22, Oct – 21)
Q40. What is contract rent? (Mar – 25, 24, 23, 20, 18, May – 25, 24, 23, 22, Aug – 22, Oct – 21)
Q41. What are real wages? (Mar – 19, 18, 15)
Q42. What is net profit? (Mar – 16, May – 25, 22, 16)

CHAPTER 7: NATIONAL INCOME ANALYSIS

- Q43. Expand C.S.O What is its responsibility? (Mar – 25, 24, 23, 20, May – 25, 24, 23, 22, Aug – 22)
Q44. Per Capita Income. (Mar – 19, 17, 16, May – 19, 18, 16)
Q45. Gross National Product. (Mar – 15, May – 17)
Q46. What are transfer payments? Give example. (May – 22, Oct – 21)
Q47. Depreciation. (Aug – 22)

CHAPTER 8: THEORIES OF EMPLOYMENT AND PUBLIC FINANCE

- Q48. What is budget? (Mar – 25, 24, 23, 20, May – 24, 23, 22)
Q49. What is Say's law of markets? (Mar – 20, 19, 17, 16, May – 24, 23, 17, 16)
Q50. Write in brief, about GST. (Mar – 24, 23, May – 25)
Q51. Write a note of deficit budget. (Mar – 19, 16, May – 19, 18, 17, 16)
Q52. What do you mean by Wage - Cut Policy? (Mar – 17, May – 19, 18)

CHAPTER 9: MONEY BANKING AND INFLATION

- Q53. What is currency? (Mar – 25, 24, 23, 20, 18, May – 25, 24, 23, 22, Aug – 22)
Q54. What is Clearance House? (Mar – 25, 23, 20, 18, 17, 16, May – 25, 22, 16, Oct – 21)
Q55. What is barter system? (Mar – 24, 19, 16, May – 25, 23, 19, 17, Oct – 21)
Q56. What is net banking? Explain its merits. (Mar – 24, 20, May – 25, 24, 22, 19, 18, 17, 16, Oct – 21)
Q57. Near money. (Mar – 18, 17, 15, May – 19, 18, 17)
Q58. Overdraft and its uses. (Mar – 19, 16, 15, May – 24, 22, 16, Aug – 22)
Q59. Explain the types of inflation. (Mar – 19, 16, 15, May – 24, 22, 16, Aug – 22)
Q60. What is token money? (Mar – 23)
Q61. Recurring deposits. (Mar – 17, May – 19, 17)
Q62. What are the objectives of central bank? (Mar – 19)

CHAPTER 10: BASIC STATISTICS FOR ECONOMICS

- Q63. Compute median for the following data: 5, 7, 7, 8, 9, 10, 12, 15 and 21. (Mar – 25, 24, 23, 20, 17, 16, May – 24, 23, 19, 18, 17, 16, Aug – 22, Oct – 21)
Q64. Pie – Diagram. (Mar – 25, 24, 23, 20, 19, 17, 16, May – 25, 24, 23, 19, 18, 17, 16)
Q65. Explain the concept of mode. (Mar – 24, 20, 17, May – 22, 19, 18, 17, Aug – 22, Oct – 21)
Q66. Find the mode from the following data. 380 430 480 480 480 480 480 520 590 600 600
(Mar – 24, 20, 17, May – 25, 22, 19, 18, 17, Aug – 22, Oct – 21)
Q67. Explain the concept of geometric mean. (May – 23)
Q68. Explain the concept of harmonic mean. (Mar – 23)